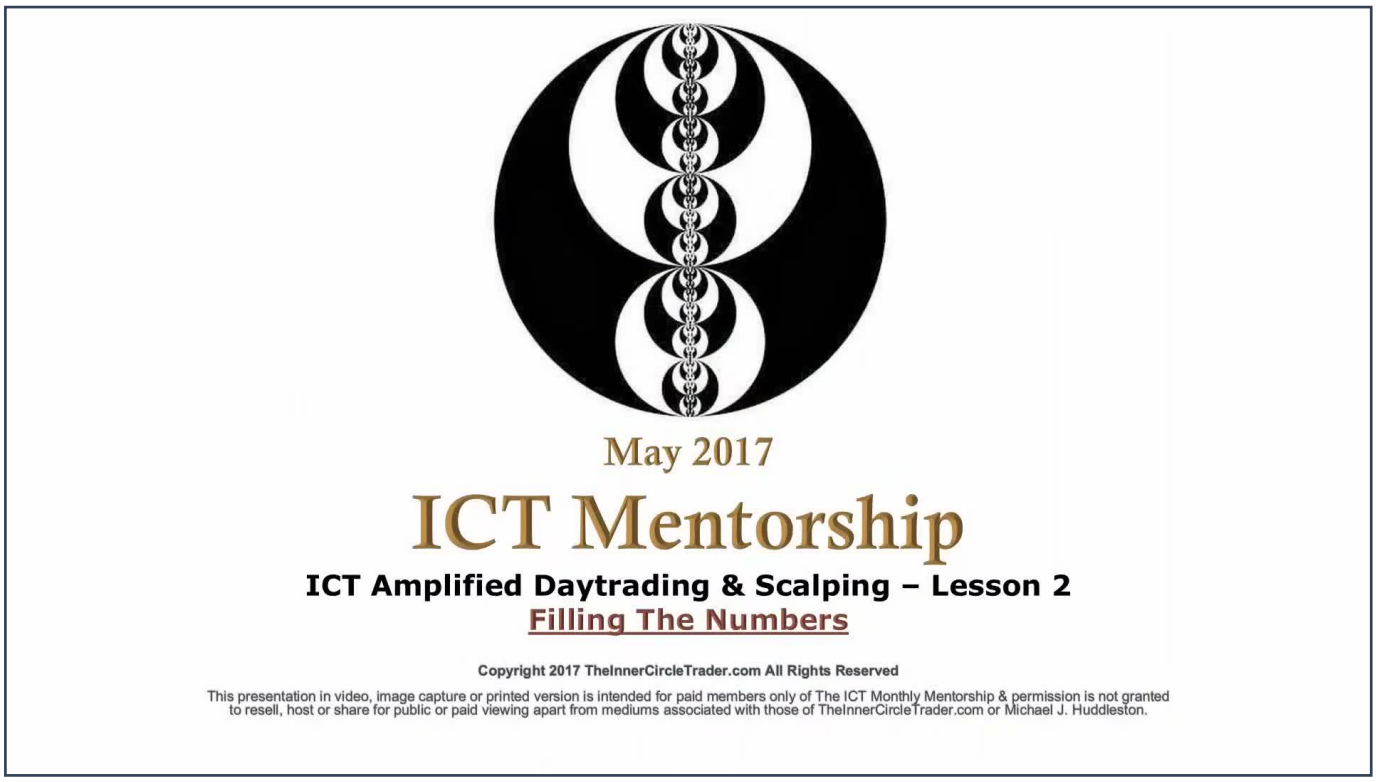
ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 09 - FILLING THE NUMBERS



This teaching is about 'Filling The Numbers'. When discussing 'filling the numbers', it refers to the likelihood or tendency for IPA (Interbank Price Action) to fill specifically four numbers per day. The daily range will seek to fill or trade to four specific levels each trading day.

PREVIOUS DAY'S HIGH AND LOW AS REFERENCE POINTS

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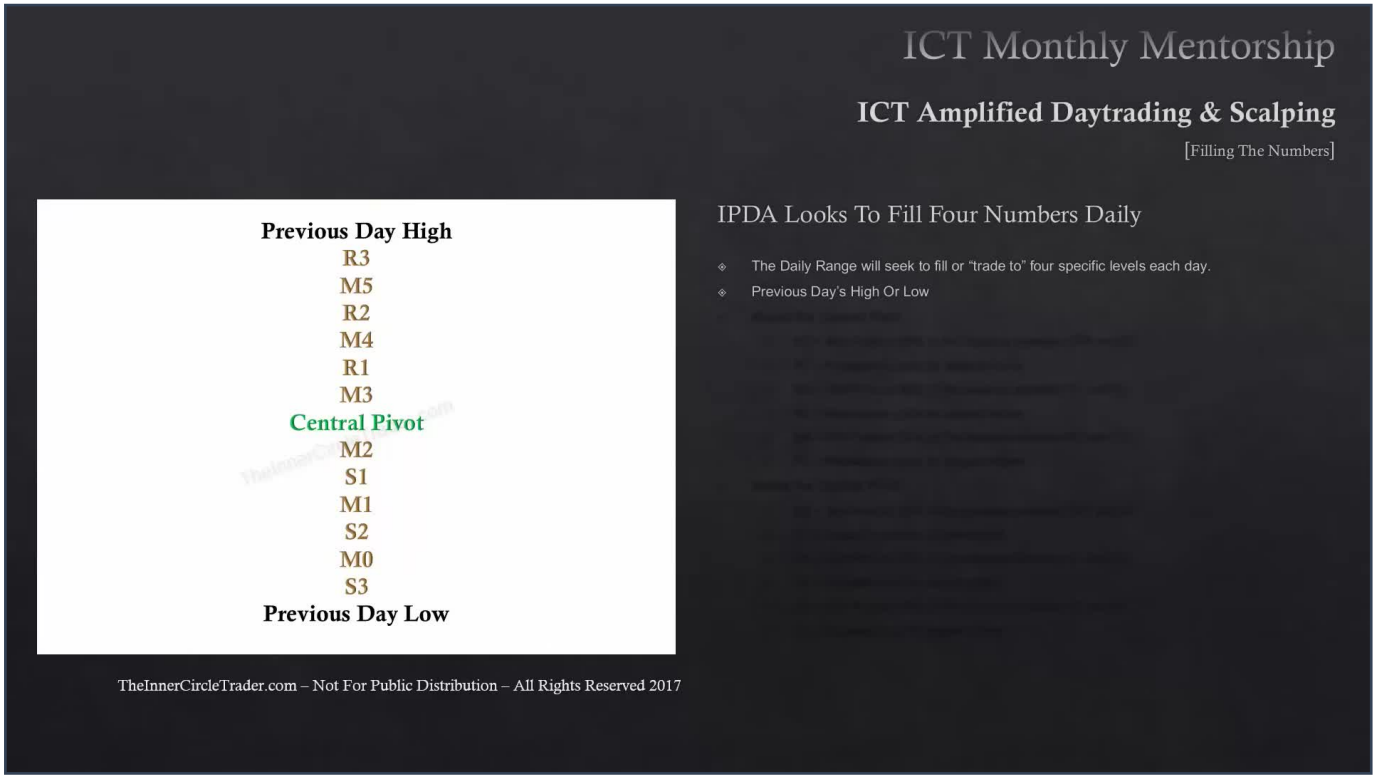
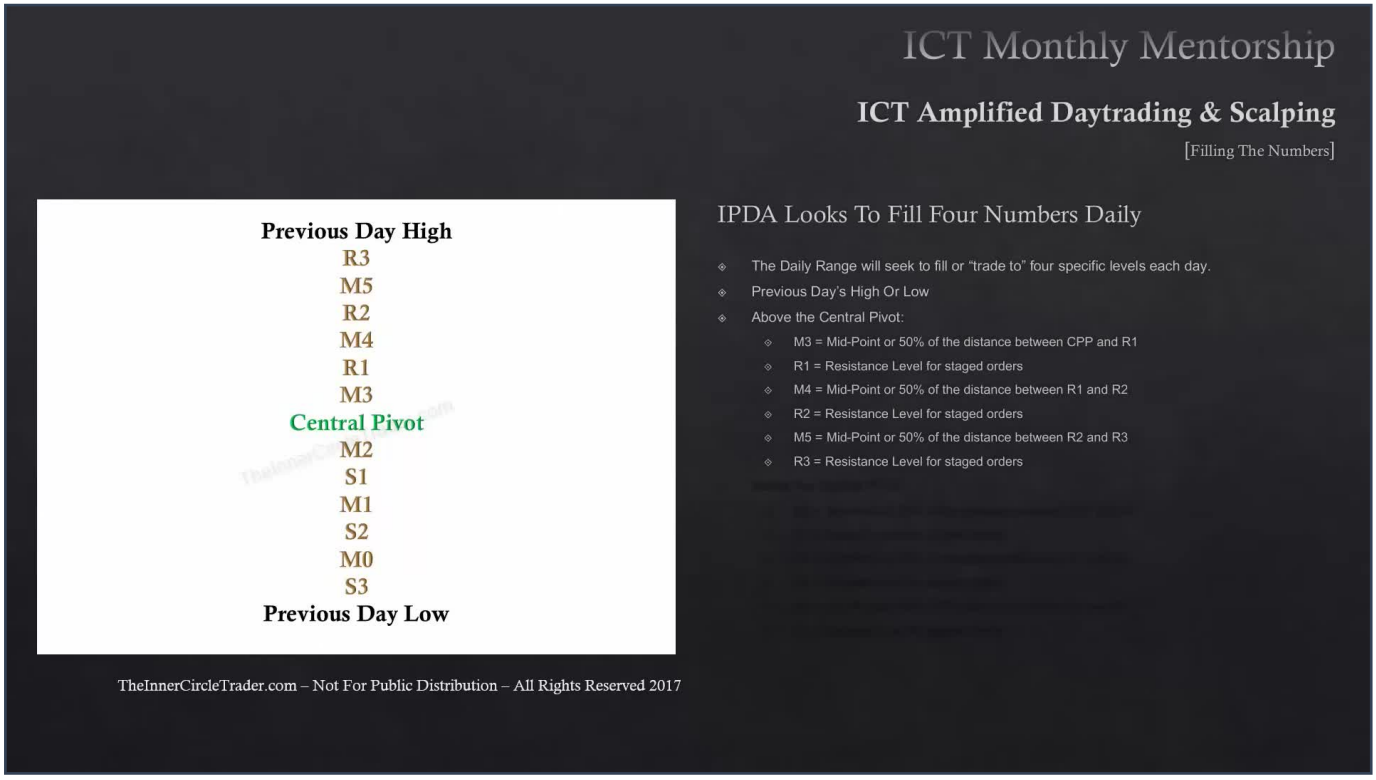


Two levels that first come to mind are the previous day's high and low. As a day trader, you will work with the previous day's highs and lows, and the last three days' high and low (whichever is the highest in that regard) for swing points based on a daily chart. These reference points are your bread and butter, providing a great deal of context.

- We always look for one of these levels (previous day's high or low) to be traded to.

- It does not always happen, as the daily range could be smaller than required to reach them.

- Generally, we look for a retest or trade through previous day highs and lows as a day trader.



One of the tools most used by retail traders and large funds are historically known as Floor Traders pivot numbers. While not extensively used in my trading, I look for the Central Pivot Point (0 GMT pivots).

- We look for movement above the central pivot in the form of M3, which is the midpoint or 50 percent of the distance between the Central Pivot Point and R1.

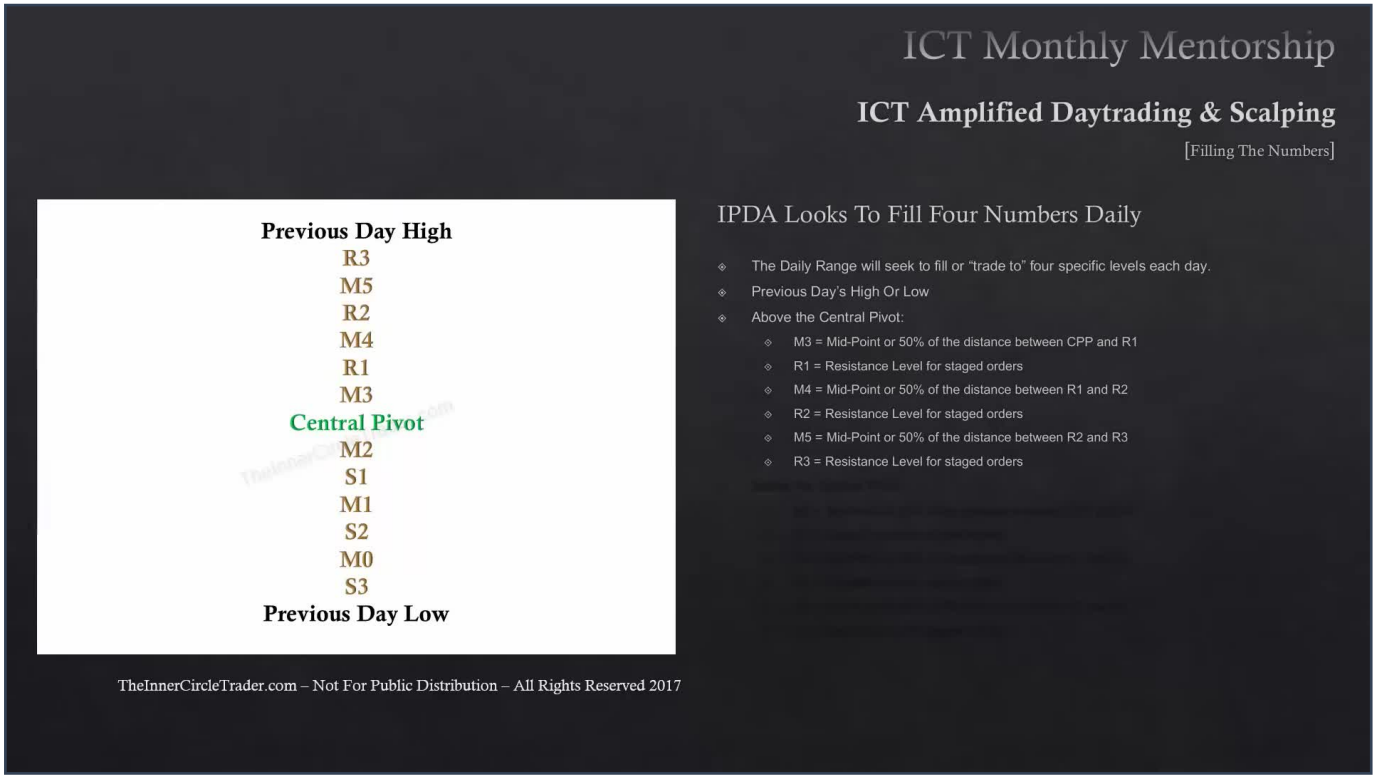
- R1 or Resistance Level 1 is for staged orders.

- M4, which is the midpoint or 50 percent of the distance between R1 and R2 Pivot Point.

- R2 is the Resistance Level 2 for staged orders.

- M5 is the midpoint or 50 percent of the distance between R2 and R3.

- R3 is the Resistance Level 3 for staged orders.



Staged orders refer to the presence of buyers and sellers at these pivot levels. IPA will invariably trade to and through these levels most of the time. While folks using pivot points do not always use them accurately or find them consistently working, there is a tendency for IPA to trade to them because of these staged orders.

- What retail traders might view as a good buy point below the Central Pivot Point at S1 or S2, could actually be a good area to sell short for a continuation once the daily range expands down and trades back up to S1 or S2.

- Retail perspective often considers anything below the central pivot point as a good buy.

- We do not care if they are buying or selling; we know IPA will go there to facilitate trade and move through that market for fund liquidity, not for retail brokers or small traders. Big banks will trade through these levels to fill those numbers.

FLOOR TRADERS PIVOT NUMBERS BELOW CENTRAL PIVOT

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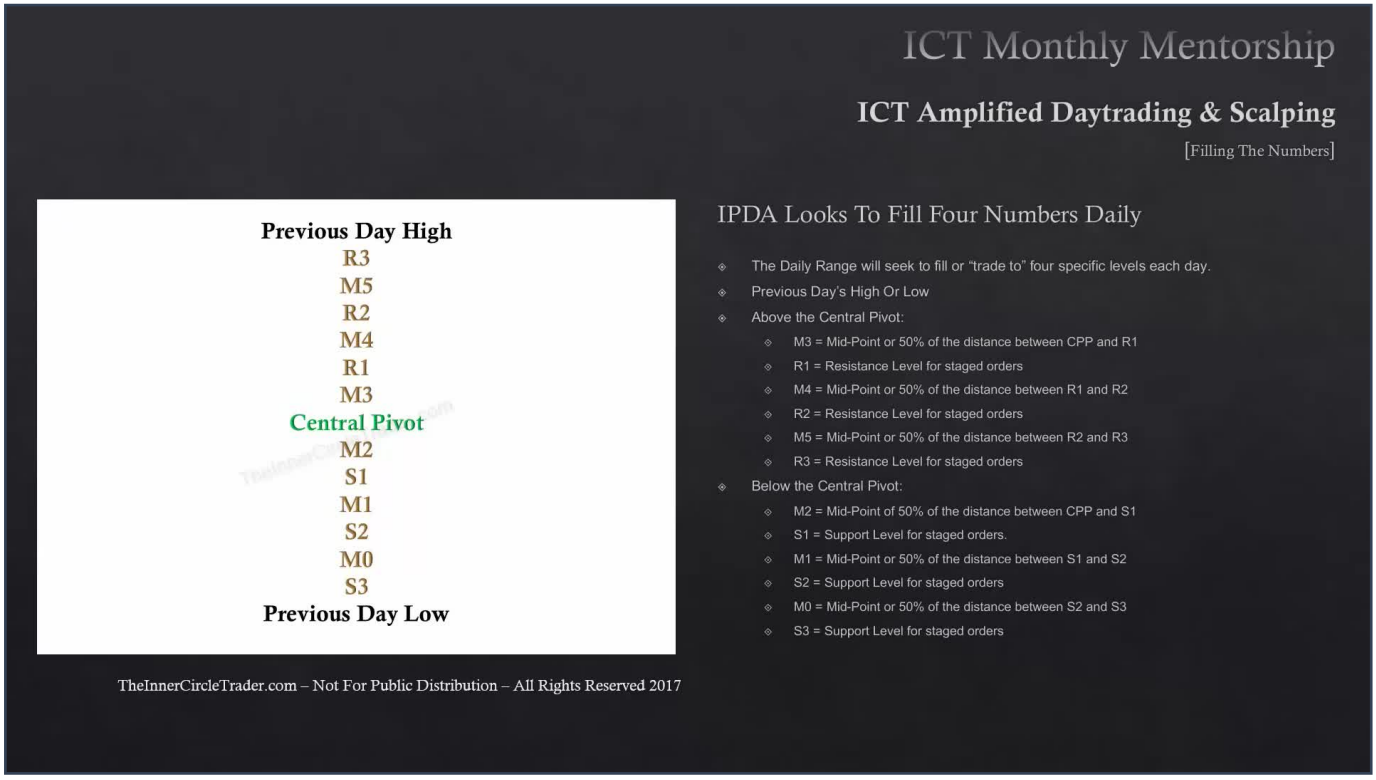


Below the Central Pivot, we look for:

- M2, which is the midpoint or 50 percent of the distance between the Central Pivot and S1.

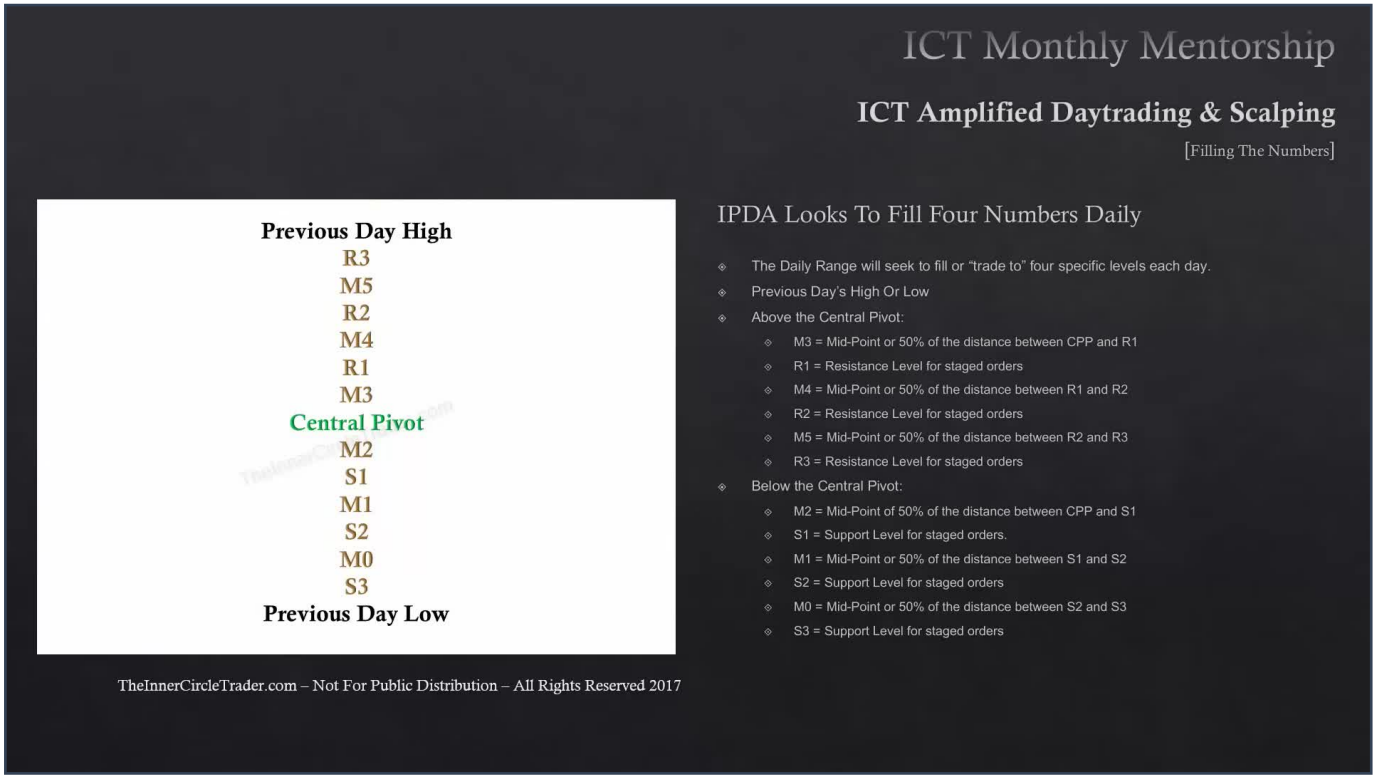
- S1 is the First Support Level for staged orders.

- M1, which is the midpoint or 50 percent of the distance between S1 and S2 Pivot Points.

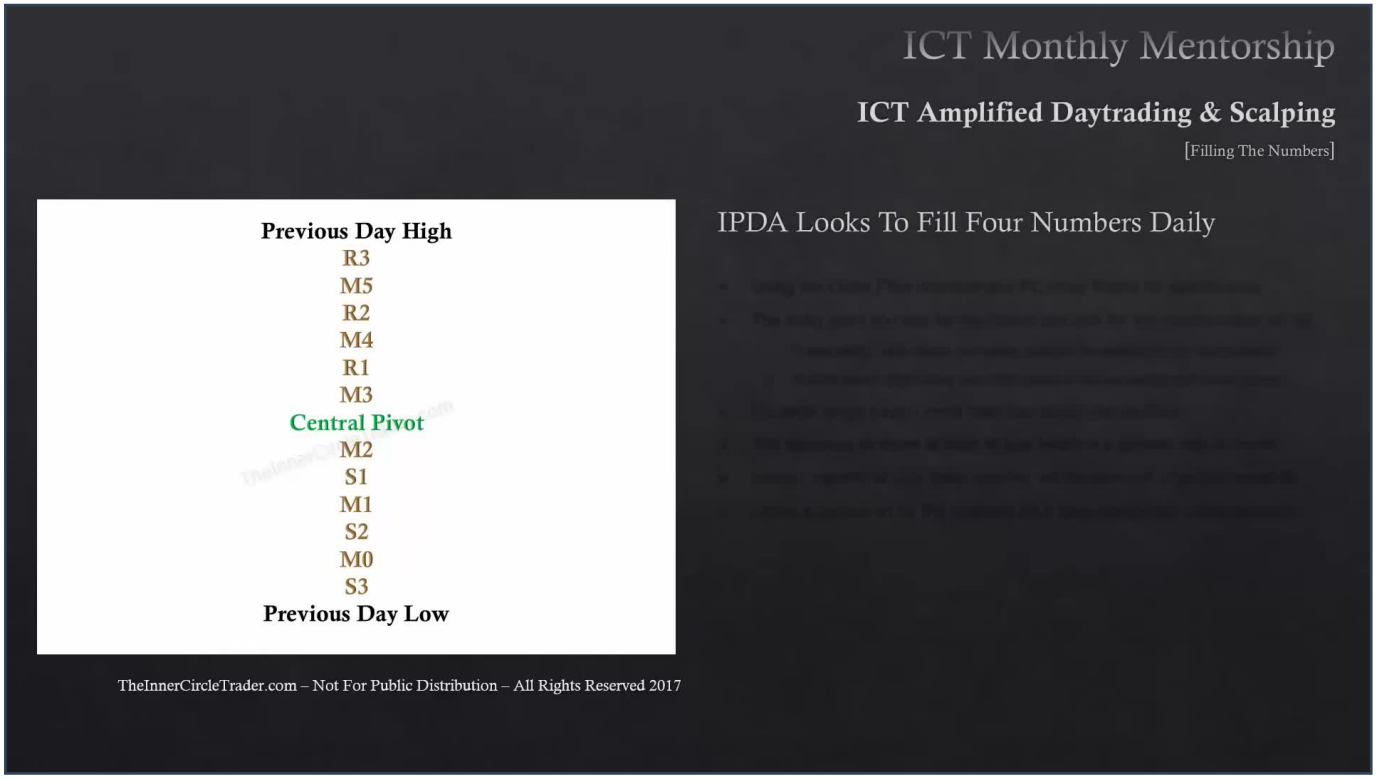
- S2 is Support Level 2 for staged orders.

- M0, which is the midpoint or 50 percent of the distance between S2 and S3.

- S3 is the Support Level 3 for staged orders.



If you are new to pivot points, it might seem confusing, but it is a simple indicator. An MT4 indicator will be shared on the forum under the resources tab after all lessons are complete. While it is not important to understand how to trade pivot points like the retail crowd, it is important to understand what these levels are and how we will interpret them in terms of filling the numbers.

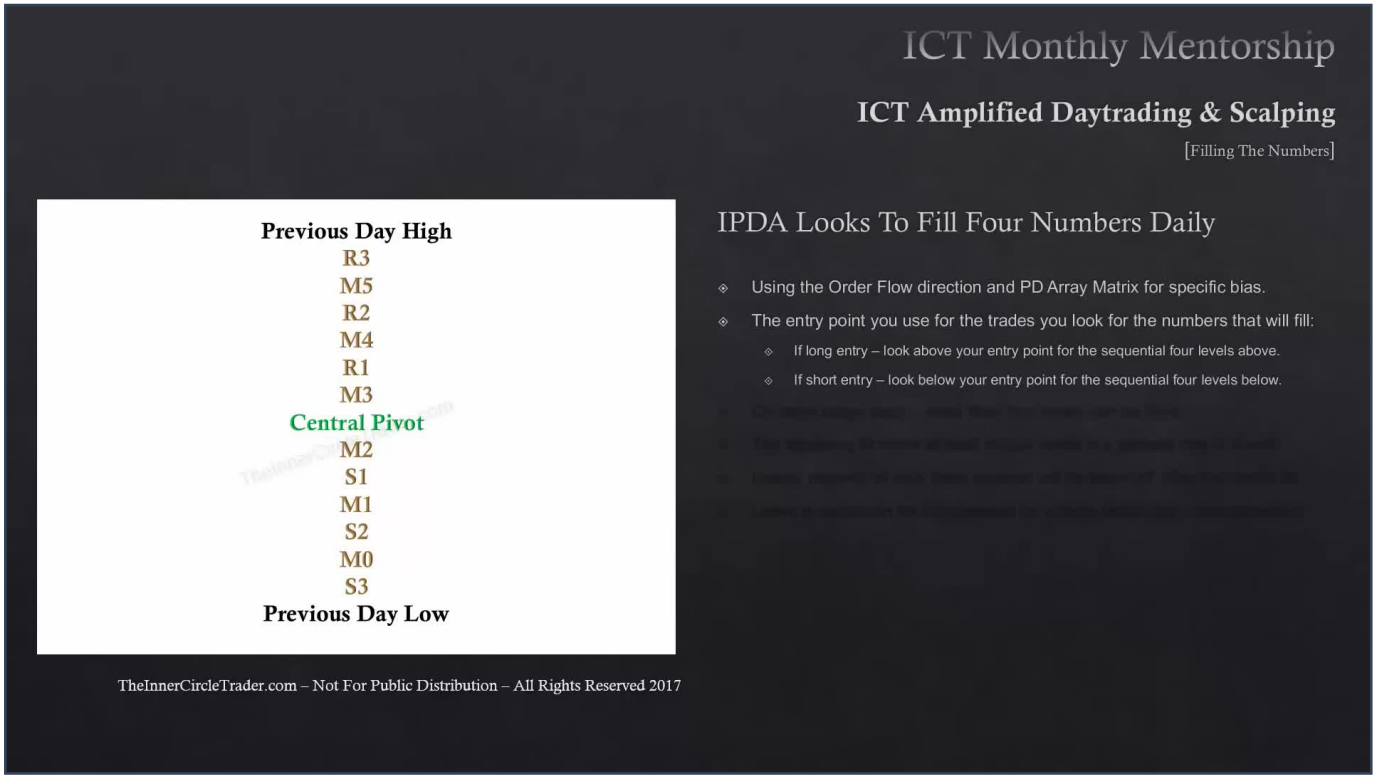


Using the order flow direction and PD array Matrix for specific bias, we can use these pivot numbers to help determine what numbers will be filling for that particular day. From your trade entry point:

- If you are going long, look above your entry point for the sequential four levels.

- If you are selling short, look below your entry point for the sequential four levels.

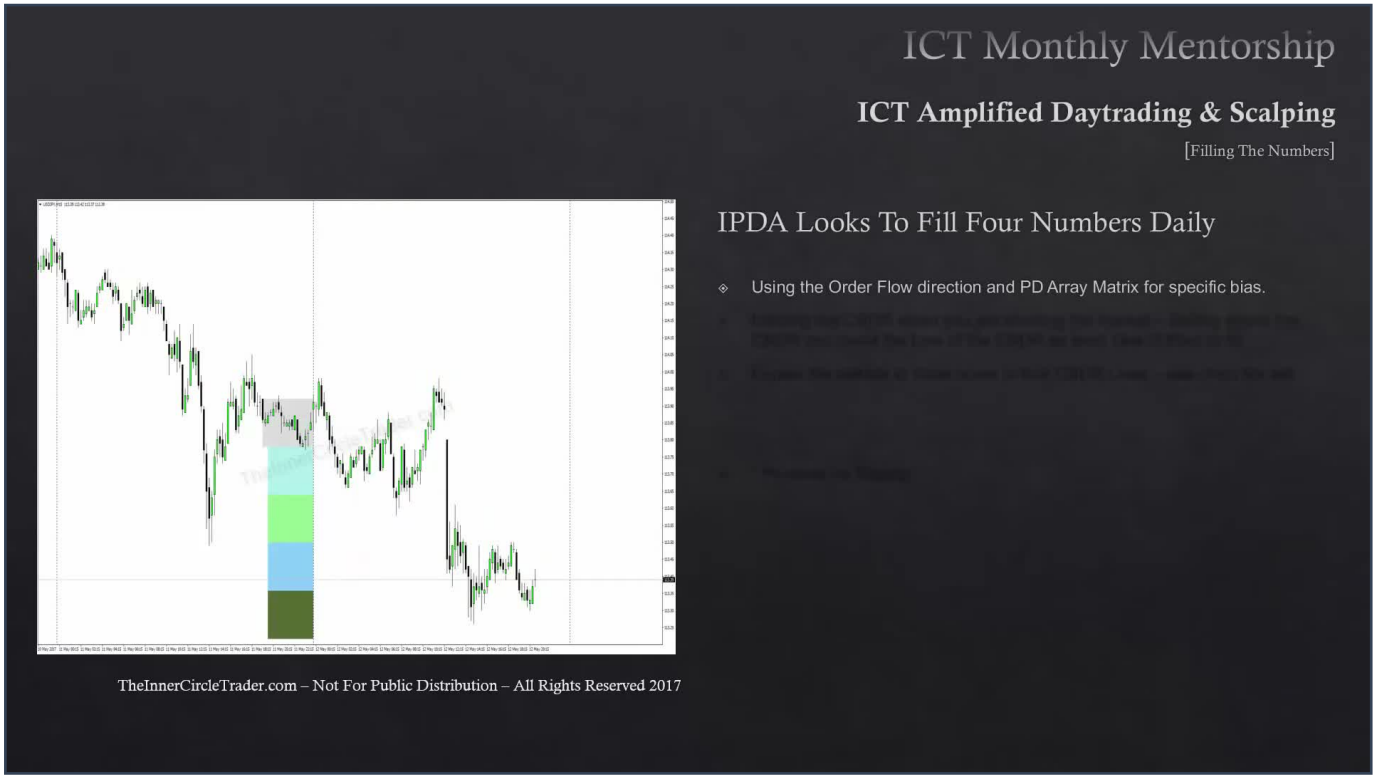
- For example, if going short and entering near the R2 level, we could look for M4, R1, M3, and the Central Pivot as four levels below us to fill.



On large range days, more than four levels can be filled or traded to. The tendency to move at least to four levels is a general rule of thumb.

- Ideally, the majority of your trade position should be taken off after four levels are filled (about 75 to 80 percent of your trade).

- Always leave a portion (25 to 30 percent) on for the potential of a large range day, if time permits it. For instance, if four pivots have been traded to on the upside during London session, New York could see a much wilder condition and continue further.



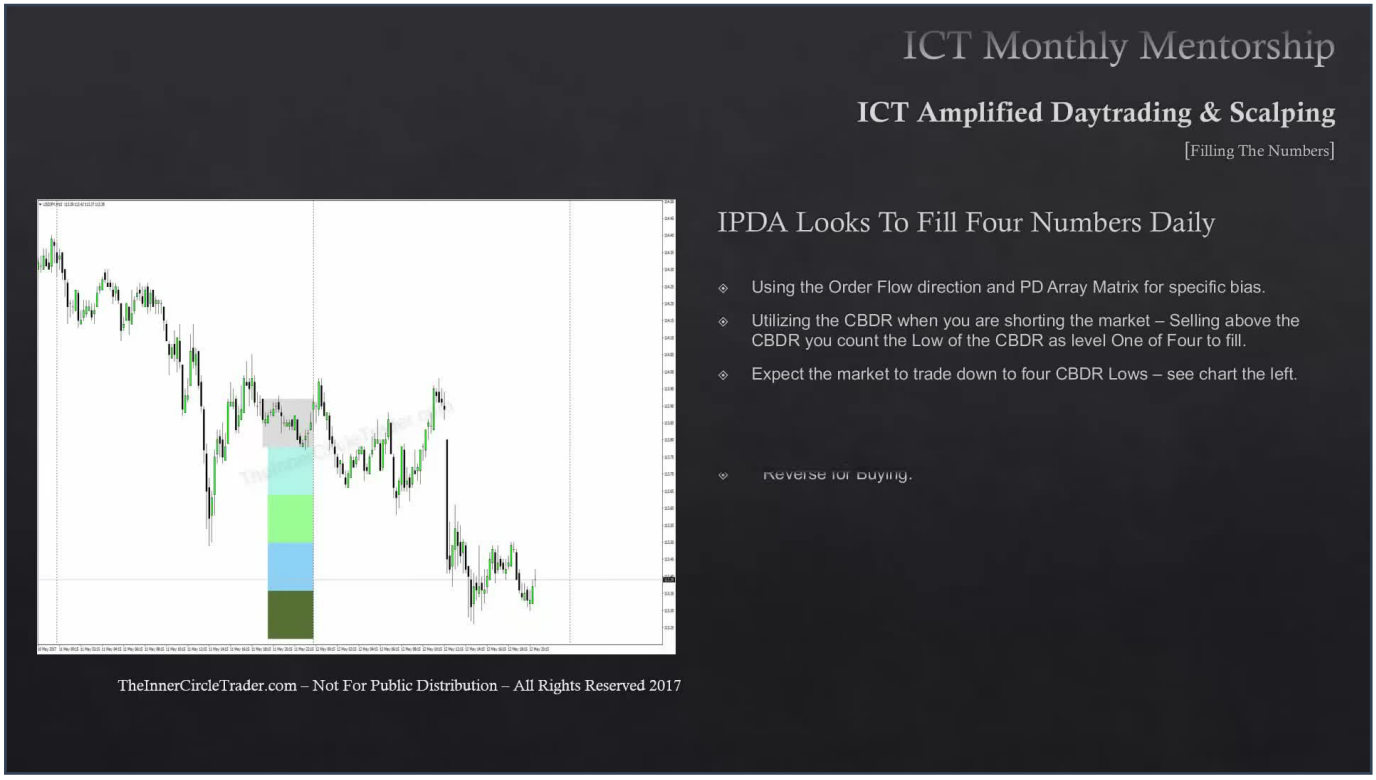
Using the order flow direction and PD array Matrix for specific bias, we also utilize the Central Bank Dealers Range (CBDR).

- When shorting the market (selling above the CBDR), you count the low of the CBDR itself as a level, or Level 1 of four to fill.

- Once the CBDR is determined, its lowest figure (whether using the wicks low or the lowest close or open for the bodies) represents the first of four levels.

- So, you would be ideally shorting above that low. When price trades down in your favor and crosses over the CBDR low, that counts as one of four levels.

- We expect the market to trade down to four Central Bank Dealers Range lows.



For shorting:

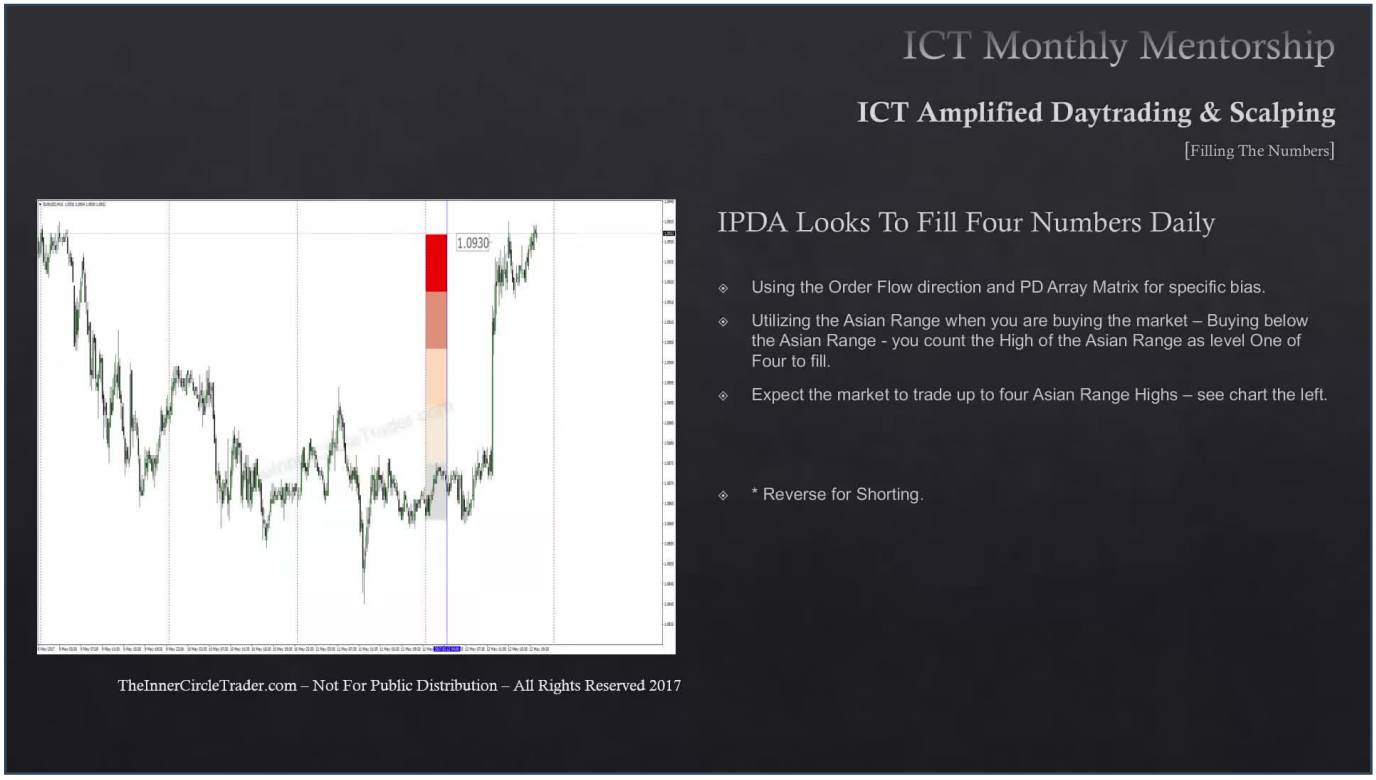
- The CBDR low is Level 1 when selling short above it. Price trading through it counts as Level 1.

- We then project standard deviations lower: Level 2, Level 3, and finally Level 4. This is an example of IPA filling the numbers based on the CBDR.

This phenomenon is similar to pivots but unique to my methodology. We look for the same phenomenon of four levels being filled.

- When selling short above the CBDR low, use the CBDR low as your Level 1. Count down each new standard deviation of the CBDR projected lower. Every time you cross the low end of that new range projection or standard deviation, that is counted as one new level. Look for four of these to fill.

- For buying, reverse this: buy below the CBDR low. Once price reaches the CBDR high, that is counted as Level 1. Continue projecting standard deviations of the CBDR higher, stacking them. Once you get through four CBDR highs, that is your Level 4 count, or the numbers being filled on the basis of the CBDR. IPA will look to fill four pivots intraday and four CBDR projections or standard deviations. Either can be used.

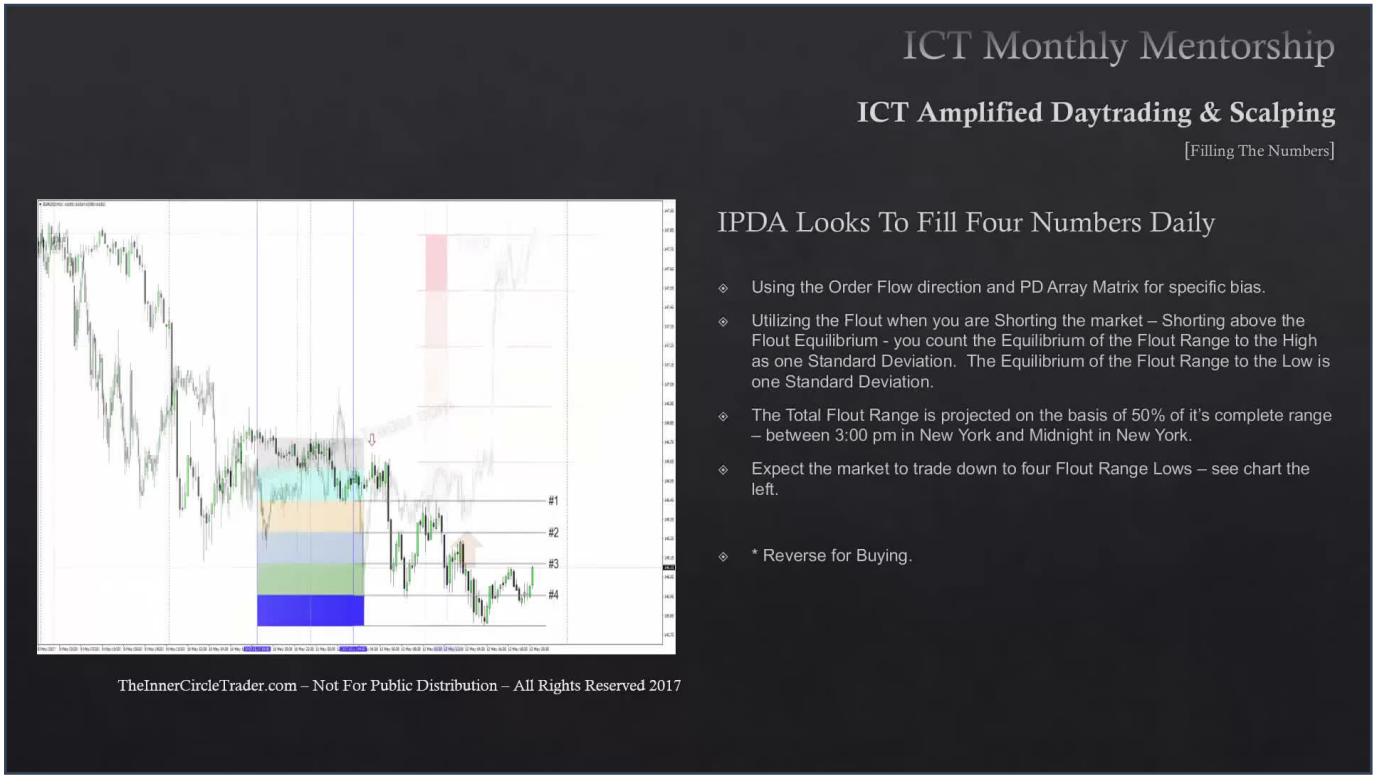


Using the order flow direction and PD array Matrix for specific bias, we also utilize the Asian range.

- When buying the market (buying below the Asian range), count the high of the Asian range as Level 1 of four to fill.

- Expect the market to trade up four Asian range highs. You would reverse this for shorting.

An example shows the market making a low after midnight. Candles open and trade lower. Then the Asian Range High is filled as Level Number 1, followed by Level Number 2, Level Number 3, and Level Number 4. Again, four is just the general rule of thumb; it can always go one or more levels.

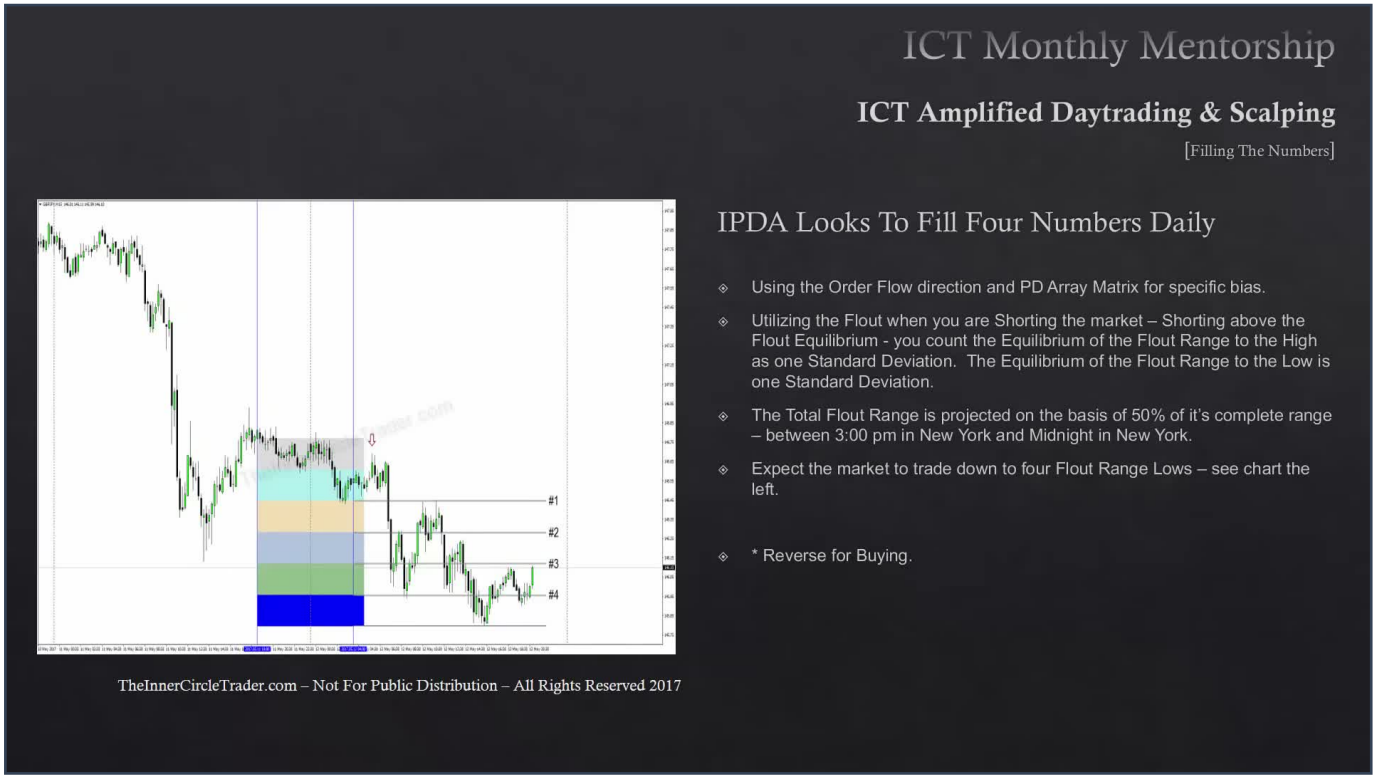


Continuing with our theory of filling the numbers, we utilize 'The Flout'.

- When shorting the market (shorting above the Flout's equilibrium or 50 percent of its range), you count the equilibrium of the Flout range to the high of its range as one standard deviation.

- The equilibrium of the Flout range to the low of its range is also counted as one standard deviation. This might be confusing initially, but it is easy to understand.

- The total Flout range is projected based on 50 percent of its complete range. The range is determined between 3:00 PM New York and midnight New York.



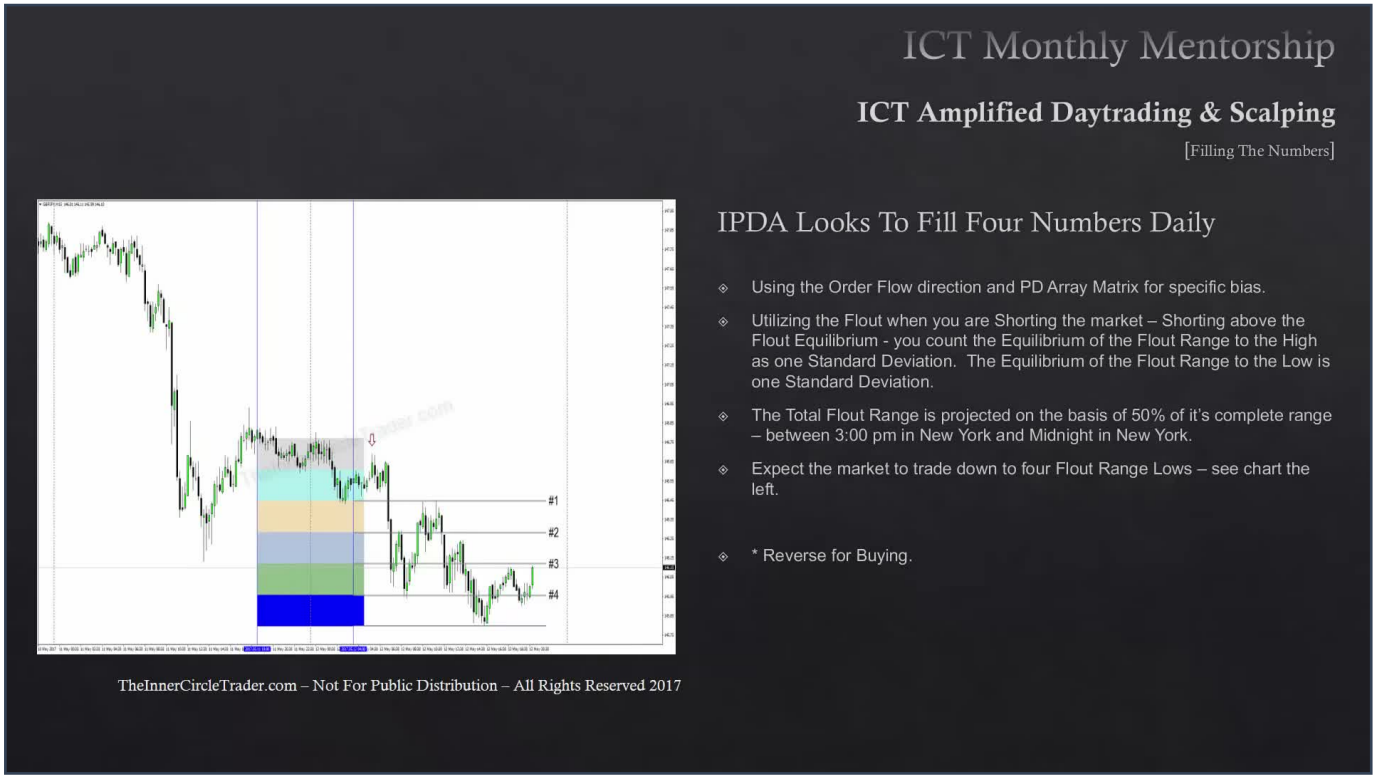
Whatever the range is (highest high and lowest low, or highest body open/close and lowest body open/close), you consider both. By using both, we account for potential retail data feed errors and get a good idea.

- Take that total range from 3:00 PM to midnight New York time. Find its middle, or equilibrium (mean threshold) of that total range.

- This effectively creates two new ranges. One of those ranges equates to one of the numbers used for the Flout.

- You expect the market to trade down four Flout ranges in the form of a low.

- Once you project the Flout down one (one new low of its range divided in half), that constitutes Level 1 of four numbers to fill for the day.



For shorting:

- The Flout range is determined between two blue lines (e.g., uppermost gray box and light blue box below it). This entire Flout range is divided in half.

- Price needs to be selling short (if bearish) above the equilibrium of the Flout's total range, or in the uppermost portion of that Flout range (gray box).

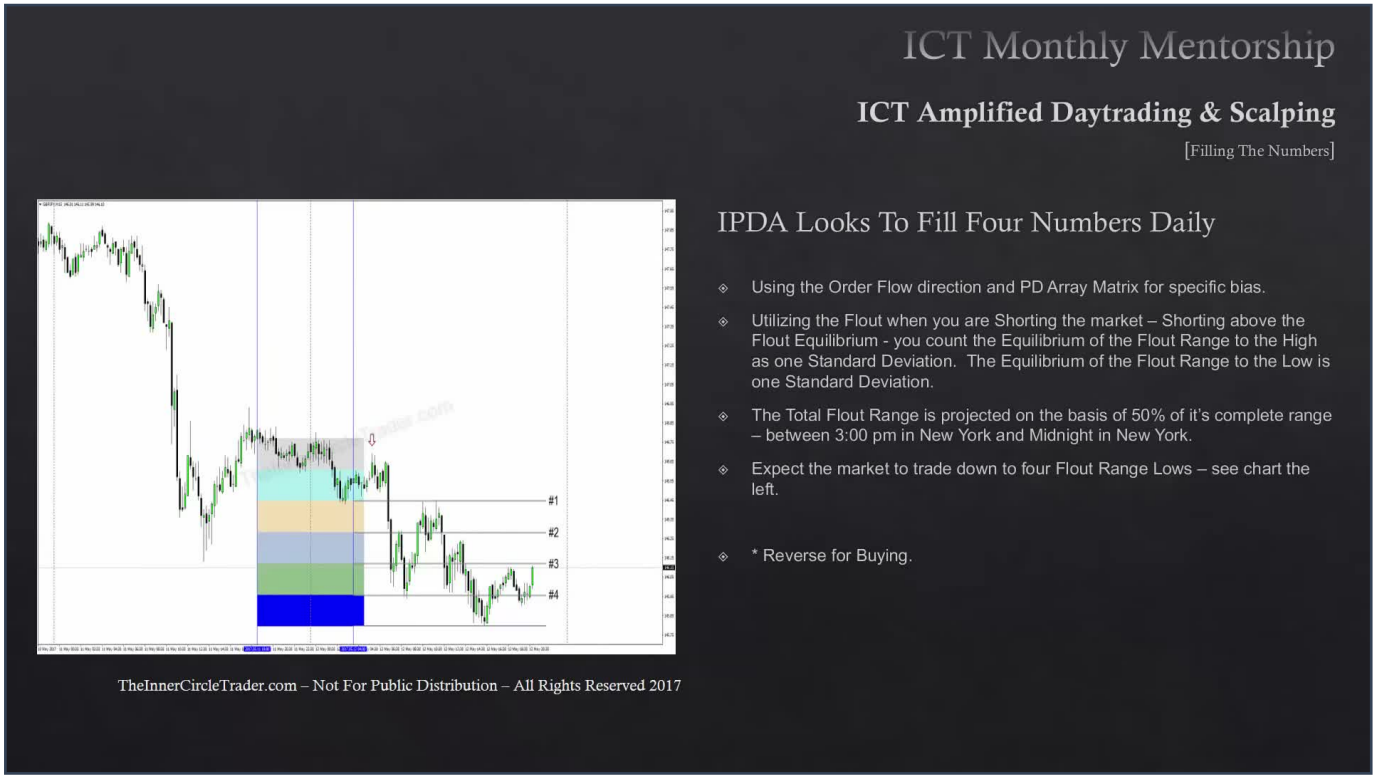
- Price trading down to Level 1 is the new Flout range low, or basically the lower half of the total Flout range. That is Level 1.

For longing:

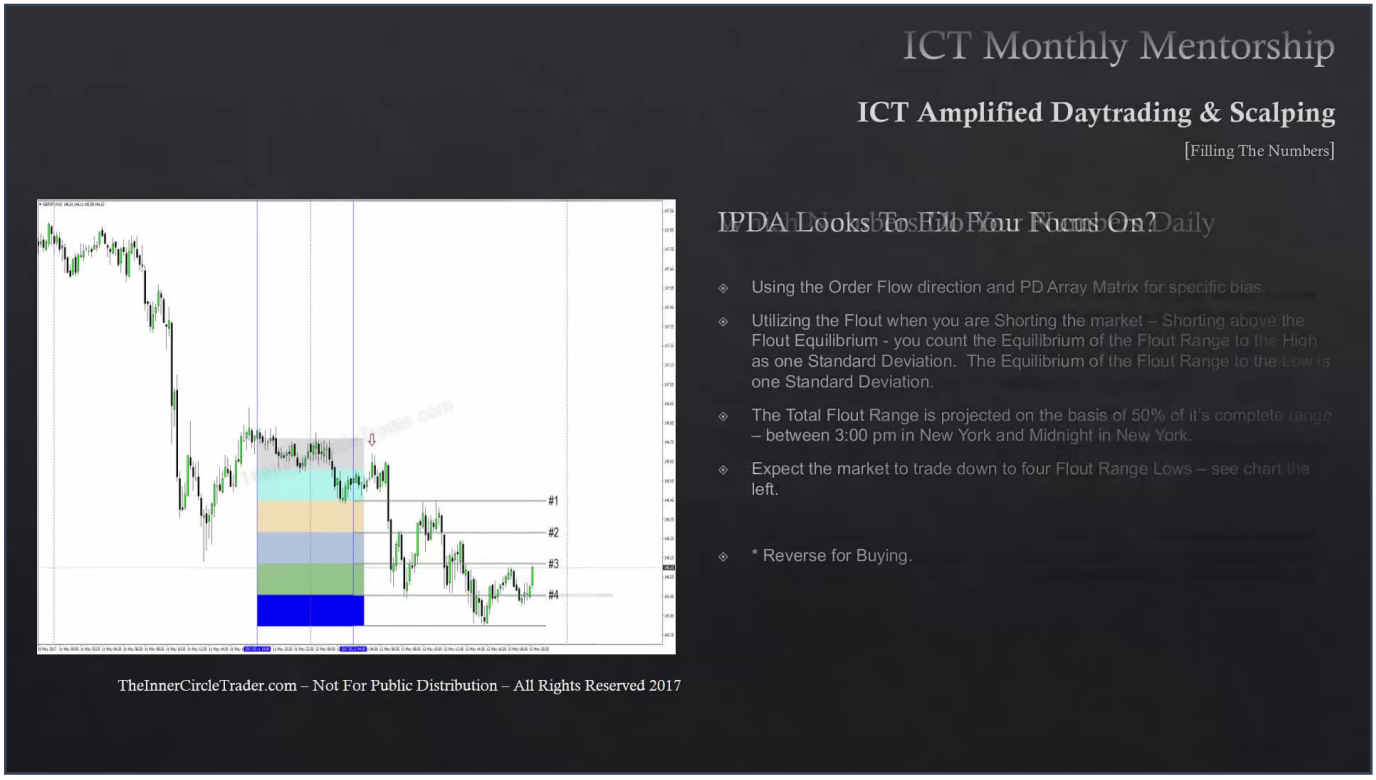
- If bullish, you buy below the equilibrium of the total Flout range (between 3:00 PM and 12:00 AM New York).

- Use the high of the Flout range as Level 1, or the first of four numbers to fill for the day.

- You keep projecting half of the Flout's total range as a new number to fill. You are projecting standard deviations of 50 percent of the range between 3:00 PM and midnight New York time, not the entire Flout range.



You can see the respective Level 2, or second number to fill, which is the third Flout range low. The fourth low of the Flout range is actually Level 4 of the range. The final fourth is seen with the fourth number in the daily range numbers to be filled. You can project it one more time, as four is just a general rule of thumb. It can go down to a fifth level, sometimes nailing the very low. This works on exotic pairs like the Pound Yen as well.



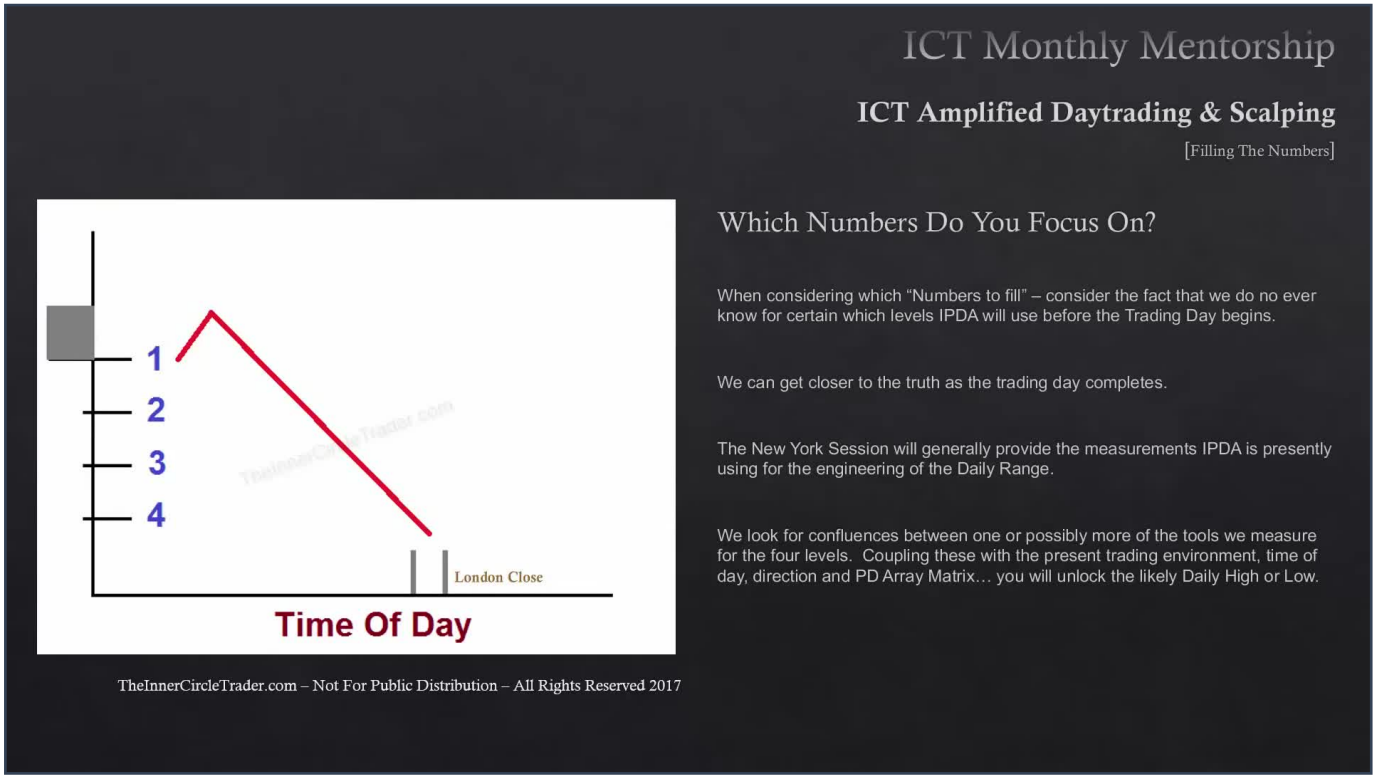
When considering which numbers to fill (Pivots, Central Bank Dealers Range, Asian Range, or Flout), we never know for certain what IPA will use to fulfill its daily range before the day begins.

- By the time London trading goes into New York, you gain greater insight, getting closer to the truth as the trading day completes.

- The New York session will generally provide the measurements IPA is presently using for the engineering of the daily range.

- These individual ranges and projections do not mean anything by themselves. What we look for are confluences between one or possibly more of the tools outlined in this teaching for measuring these four levels.

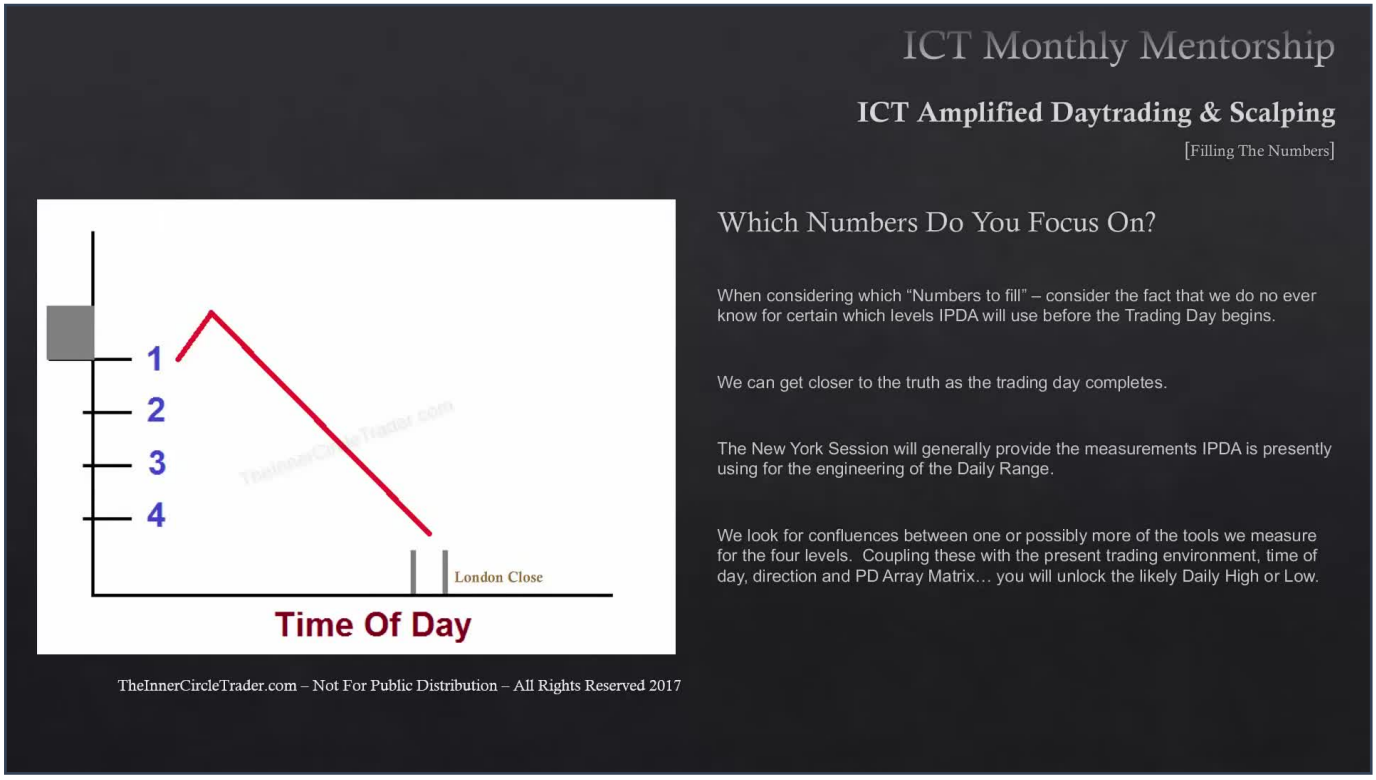
- Coupling these with the present trading environment, time of day, direction, and PD array Matrix will help unlock the daily high or low.



I have previously called daily highs and lows within one or two pips, sometimes right to the pip. This is not known for certain at the London open. This ability comes from using these ideas, not from being 'superhuman'.

- I do not show everything on my charts because there are many questions, especially about the Flout (range division, projections, etc.). The Flout will be taught in detail later, but it is used here as a segue.

- We use Flout, Central Bank Dealers Range, Asian Range, and Pivots for fulfilling the daily range, or 'filling the numbers'.



Here is how to use all this information:

- Determine where price should be reaching based on the PD Matrix. Based on institutional order flow on the daily and 4-hour charts, we identify if price is going higher or lower.

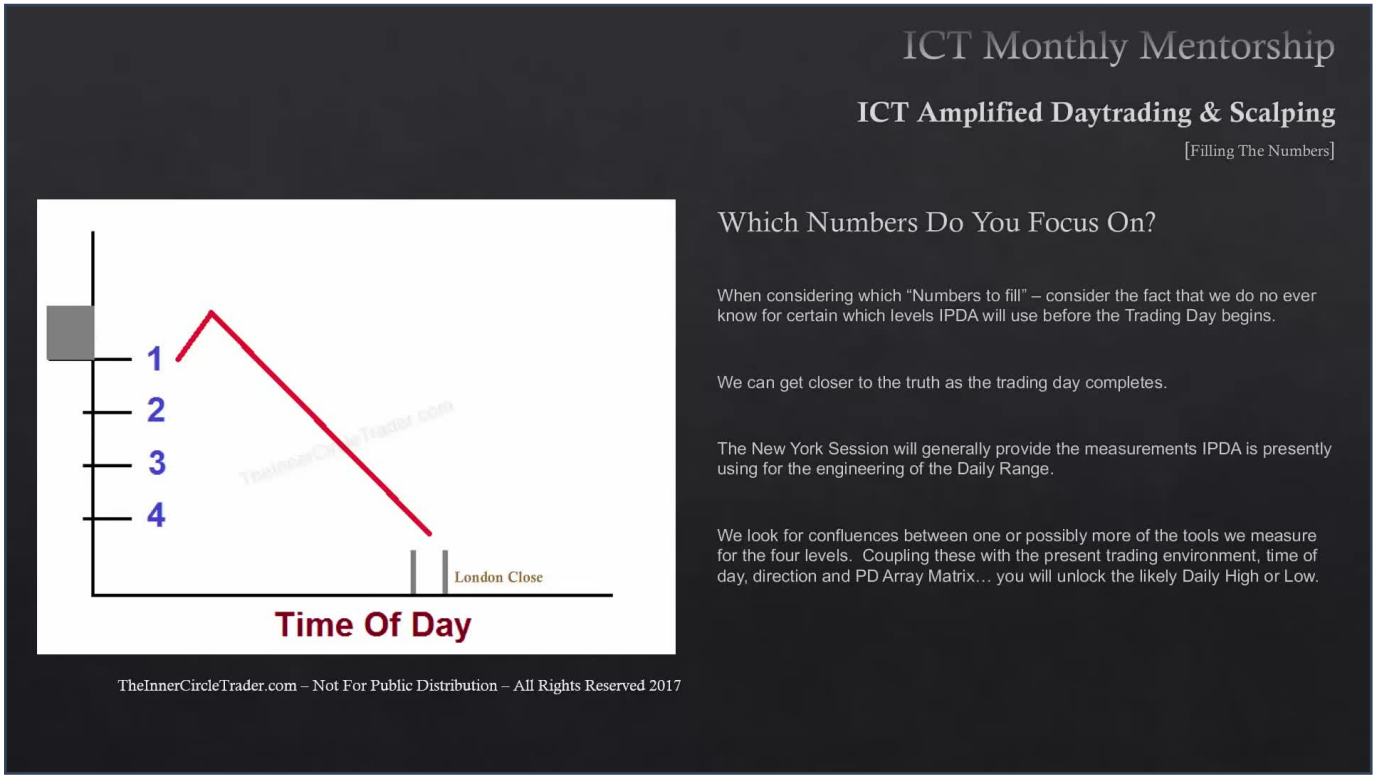
- If price is respecting a premium PD array on the daily or 4-hour, we anticipate price rallying up at New York's midnight candle or thereafter (Judas Swing).

- We use some measure of standard deviation from one of the four tools (Pivots, CBDR, Asian Range, Flout) for a basis of how far price can go.

- The speed of price delivery across the daily range is unknown (London can be 80 percent of the range, or New York could complete most of the range).

- Project these measurements across all four tools. This is the work you do throughout the day; do not look at your chart blindly. Look for measurements that overlap and converge.

- If looking to go short, look for a discount PD array on the daily or 4-hour that lines up with the time of day and the standard deviations from the CBDR, Flout, or Asian Range, and/or four levels on the pivots.

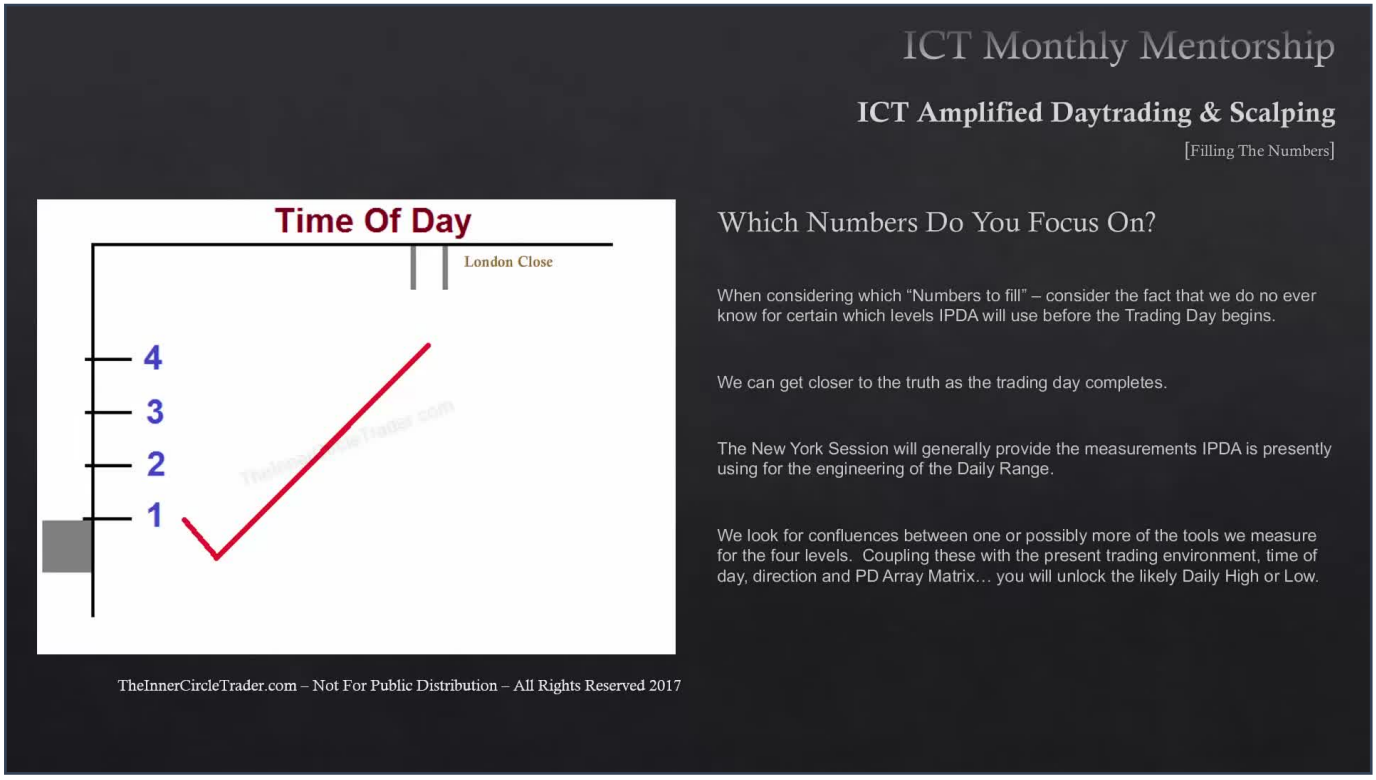


Throughout the morning, you will come to a conclusion where you can narrow down exactly where price is most likely going to go. The worst-case scenario is price going further than you thought; this is why you leave a small piece of your position on, as it can be to your benefit.

- When bullish, look for some measure of a move lower and some measure of standard deviation. Adopt and go through all of them, not just your favorite ones.

- If this seems complicated, you need to dig your heels in and do the work. It does not take long, especially if you specialize in one or two good pairs (e.g., Cable and Fiber, or Kiwi and Aussie).

- By using these measurements, we can determine how IPA will fill the numbers, as each tool has its respective characteristics and some measure of overlap.



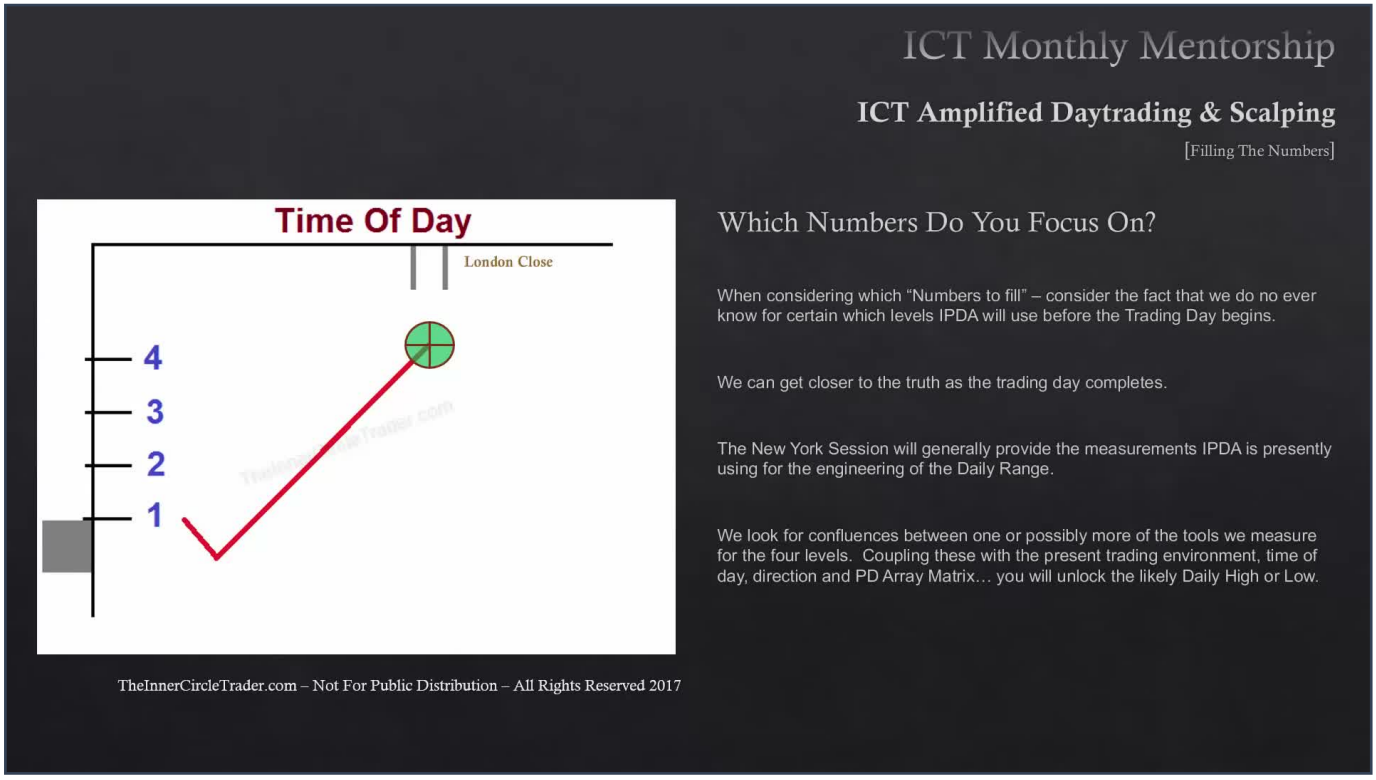
For the Flout, the range between 3:00 PM and midnight New York must be divided in half (highest high and lowest low), finding the equilibrium price point. This results in two Flout ranges.

- To go short using Flout, you must enter short above the equilibrium of the total Flout range, then use the Flout range low as your first number (Level 1 of four) to be filled for the day.

- If going long using Flout, you must buy below equilibrium of the Flout total range (3:00 PM to 12:00 AM New York) and use the Flout total range high as Level 1 for the first count.

- Do this for four Flout projections. The projections or standard deviations are basically 50 percent of the total Flout range; you do not use the Flout's total range.

- By doing this, you will be buying after some measure of protraction below, for example, the Asian range low, and looking for projections to overlap with time of day and a premium PD array. Blending these with time of day and considering if there's enough time to reach these projections will help you stack them and find daily highs and lows.

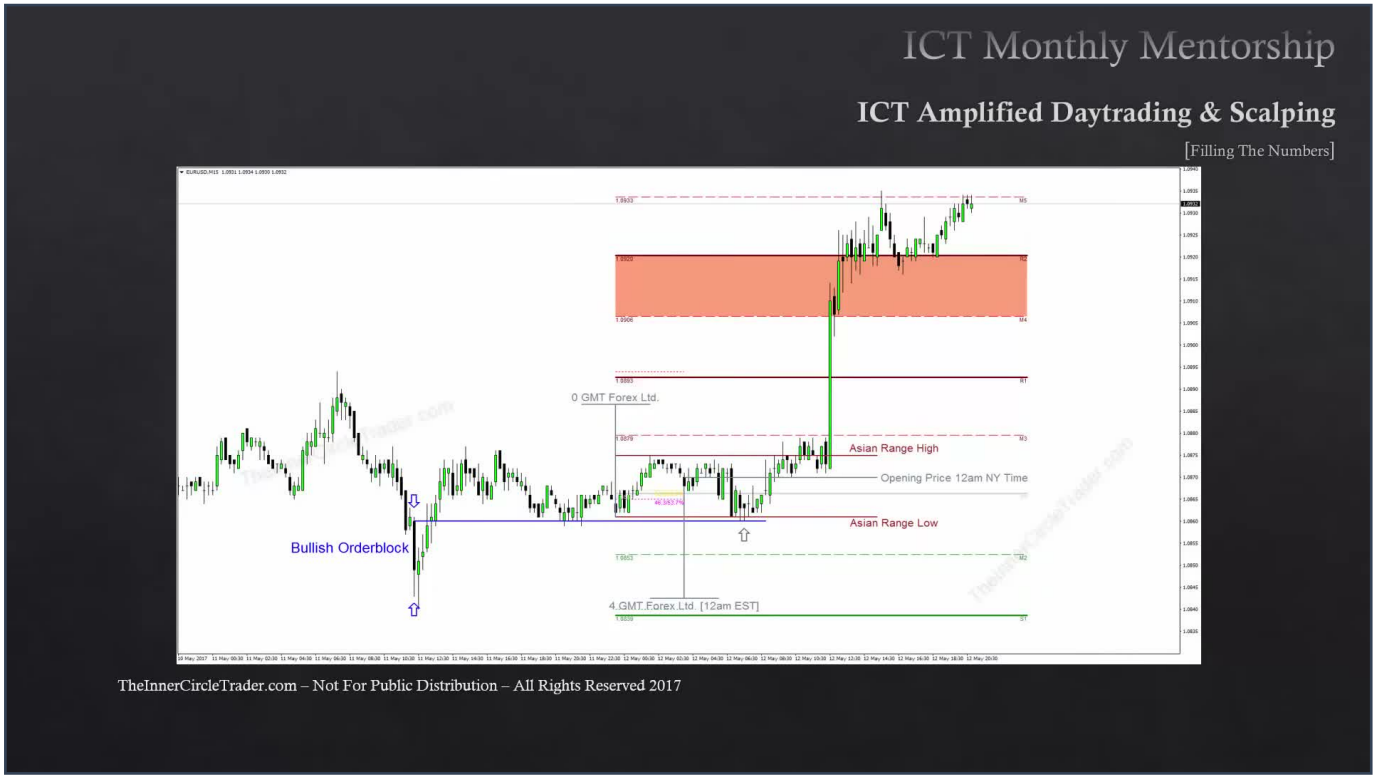


This teaching reveals exactly how I determine daily highs and lows. There is no secret sauce beyond this, just a couple more things about Flout to teach. You need this for day trading; you need to know how far that daily range is going to go. Without this, day trading is difficult.

- We can narrow down to precise entry and exit points, and know with certainty that once a bit of the trading range has been posted through London, you get a greater feel for where it is going to reach for.

- Incorporating things like Average Daily Range (ADR) when they overlap with these concepts creates a powerful dynamic, allowing you to be precise about entries and exits and capture significant portions of the daily range.

- Blending several of these concepts together will yield amazing precision.



As an example, a low was likely forming on Thursday's New York open as price traded down below sell stops. This was ahead of 8:30 news and was likely the low of the week, forming a bullish order block.

- Going into Friday, the market consolidated, then price dropped after midnight (4 GMT on Forex Ltd's platform). It traded back down below the Asian range, but not much; it does not have to. Trading to the Asian range low and a discount PD array (bullish order block).

- Price moved away and consolidated in the New York session. A target of 1.0930 was predicted as a daily high due to a fair value gap. On other charts, M5 called for 1.0933. The strategy is to get out ahead of it, so 1.0930 was the nearest round number. Price ultimately traded to 1.0935.

- Pivots are not magic; they are used for how far the range will expand, not so much for entries. We look for four levels to fill (either CBDR standard deviations, Asian range standard deviations, Flout 50 percent range standard deviations, or four pivots).

- This mentorship requires you to think and put in work. It is not easy; it requires effort and measurements throughout the day. But with effort, you get amazing Blue Ribbon results.

- Precision requires market movement and volatility, with clear displacement. When price gives us that, the 'mojo' is revealed.